implementing returns assurances). If that path had been taken, the private sector would have been less impressed.

From the viewpoint of moral hazard, and the concern about bailouts, the arithmetic worked out well for the government. It took a long time for the assets in ‘bad UTI’ to be sold, but when these were finally liquidated, the government actually turned a profit.

Macro policy in a crisis

In an ideal world, macroeconomic policy should respond to a downturn with expansionary monetary and fiscal policy. As an example, the US and the UK had very large enlargements of the deficit, and cut interest rates to 0, in response to the crisis of 2008–09.

The ability to enlarge borrowing when faced with a crisis is, however, the luxury of a country that has invested in normal times in building up sound fiscal institutions. Many pieces are required, that make up sound fiscal institutions. In normal times, the country must run small primary surpluses. There must be a public debt management agency which engages with non-coerced lenders to the government. There must be a long history of trust in the release of sound data, of a government that behaves in a responsible way, and repays on debt. Once these foundations are in place, it becomes possible to vastly increase borrowing when faced with a crisis.

In contrast, some crises are *fiscal*, and the market feels that the path of sovereign borrowing is unsustainable. At this time, there is no alternative in crisis response but to sharply reduce government borrowing. This hurts the economy at a difficult time, but there is no alternative. This was the path taken in India in 2012–13. [10] In normal times, deficit reduction is contractionary. But in a fiscal crisis, deficit reduction reduces fear in financial markets, thus giving an ‘expansionary fiscal consolidation’.

In similar fashion, monetary policy should swing into action when there is a crisis. Macroeconomic difficulties would result in forecasted inflation going below the target. The MPC would see this, and cut rates. The market